

I did okay, but not great. What was killing me in the process was that the brokerage firms who directed business to CTAs would set the commission rates. In my own account, I was trading at a \$12 commission rate, which by today's standards is insanely expensive, but back then was a good rate. My customers were trading at a \$50 commission rate, or even higher. So I had to trade my CTA accounts different from my own account because if I traded them at the same level, it would be churning. I might be up in my own account, while at the same time, the CTA accounts could be down. That disparity really bothered me and ultimately drove me to the decision that I had to manage money in a fund.

So your performance as a CTA prior to starting the fund was dragged down by high commissions. If you had been paying the lower commissions charged in the fund you subsequently started, would your performance in your early years as a CTA have been more in line with the fund performance levels?

No, because the performance difference was not only due to the disparity in commission rates. In order to avoid an excessive commission burden on the client managed accounts, I took only about one-quarter of the trades that I did in my own account. Ultimately, I decided to switch to a fund structure, not only to control costs, but also to assure that my investors' accounts were traded the exact same way as my own account. In 2000, I started the fund.

Did your methodology evolve over time?

It did. In my early years in the business, I was able to trade the markets technically and make money, while keeping my drawdowns very manageable. But I wasn't making the big money. I thought about what was holding me back. The lightbulb that clicked on for me was the realization that I had to also embrace fundamentals. That insight brought me back to my original interest in economics.

When did this transition occur?

In the 1990s, after I became a CTA. I remember one of my biggest trades. At the time, there was a general consensus that government borrowing was going to crowd out private borrowing, which it was expected would be very bearish for the bond market. I was reading all these bearish